

26PSCV02166 26PSCV02166

County: los-angeles

Division: Civil Law and Motion

Department: 6

Hearing date: 2026-09-21

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=CIT%2C6%2C09%2F21%2F2026

Source SHA-256: 1dd0508361fa857ffb0d0f3e1dd388e546222ae653daab81298c958e71548c9f

Case Number: 26PSCV02166 Hearing Date: September 21, 2026 Dept: 6

CASE

NAME: Jorge

Arguello v. Superior Air Fabrication, LLC, d.b.a. Superior Duct Fabrication, et al.

Defendants'

Motion to Compel Arbitration and Dismiss, or in the Alternative, Stay the Proceedings

TENTATIVE

RULING

The Court GRANTS Defendants' motion to compel arbitration and dismiss, or in the alternative, stay the proceedings. The Court hereby STAYS this action pending completion of arbitration. The Court will sign the proposed Order.

Defendants are ordered to give notice of the Court's ruling within five calendar days of this order.

BACKGROUND

This is an employment dispute. On June 22, 2026, plaintiff Jorge Arguello (Plaintiff) filed this action. On July 23, 2026, Plaintiff filed the operative First Amended Complaint against defendants Superior Air Fabrication, LLC, d.b.a. Superior Duct Fabrication (Superior), Milton Antonio Peraza (Peraza), Lacey Nicole Radcliffe Rogers (Rogers) (collectively, Defendants), and Does 1 through 50, alleging causes of action for disability discrimination in violation of Government Code section 12900 et seq., failure to accommodate

in violation of Government Code section 12900 et seq., failure to engage in good faith interactive process in violation of Government Code section 12900 et seq., retaliation in violation of Government Code section 12900 et seq., retaliation in violation of Labor Code section 245, et seq., failure to prevent, investigate, and remedy discrimination and retaliation in violation of Government Code section 12900 et seq., wrongful termination in violation of public policy, failure to permit inspection of personnel records in violation of Labor Code section 1198.5, failure to permit inspection of payroll records in violation of Labor Code section 226, and negligence.

On August 26, 2026, Defendants moved to compel arbitration and dismiss, or in the alternative, stay the proceedings. On September 8, 2026, Plaintiff opposed the motion. On September 14, 2026, Defendants replied to Plaintiff's opposition.

LEGAL STANDARD

Parties may be compelled to arbitrate a dispute upon the court finding that: (1) there was a valid agreement to arbitrate between the parties; and (2) said agreement covers the controversy or controversies in the parties' dispute. (Omar v. Ralphs Grocery Co. (2004) 118 Cal.App.4th 955, 961.) A party moving to compel arbitration has the burden of establishing the existence of a valid agreement to arbitrate and the party opposing the petition has the burden of proving, by a preponderance of the evidence, any fact necessary to its defense. (Banner Entertainment, Inc. v. Superior Court (1998) 62 Cal.App.4th 348, 356-357.) A party seeking to compel arbitration meets their initial burden of establishing the existence of a valid arbitration agreement by attaching a copy to the motion or setting forth its terms verbatim. (Condee v. Longwood Mgmt. Corp. (2001) 88 Cal.App.4th 215, 218-219 (Condee).)

"California has a strong public policy in favor of arbitration and any doubts regarding the arbitrability of a dispute are resolved in favor of arbitration." (Coast Plaza Doctors Hospital v. Blue Cross of California (2000) 83 Cal.App.4th 677, 686.) "This strong policy has resulted in the general rule that arbitration should be upheld 'unless it can be said with assurance that an arbitration clause is not susceptible to an interpretation covering the asserted dispute. [Citation.]'" (Ibid.) This is in accord with

the liberal federal policy favoring arbitration agreements under the Federal Arbitration Act (FAA), which governs all agreements to arbitrate in contracts involving interstate commerce. (9 U.S.C. § 2, et seq.; Higgins v. Superior Court (2006) 140 Cal.App.4th 1238, 1247.)

PRELIMINARY ISSUES

Plaintiff's opposition cites a portion of *Trivedi v. Curexo Technology Corp.* (2010) 189 Cal.App.4th 387, 396-397 that was disapproved in *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237. (Opp., 9:20-21.) "(a) A lawyer shall not:... (2) present a claim or defense in litigation that is not warranted under existing law, unless it can be supported by a good faith argument for an extension, modification, or reversal of the existing law." (Cal. Rules of Professional Conduct, rule 3.1, subd. (a)(2).)

Defendants' motion also removes the word "FEHA" from the following quotation from *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 111: "ensure that employees bringing FEHA claims will not be deterred by costs greater than the usual costs incurred during litigation". (Motion, 12:27-28.) Defendants' removal of the word "FEHA" improperly alters the scope and meaning of the quoted language. Defendants' motion also attributes the quotation "provides for the enforcement of arbitration provisions in any contract evidencing a transaction involving commerce" to both 9 U.S.C. section 2 and *Circuit City Stores, Inc. v. Adams* (2001) 532 U.S. 105, 111-119, but that quotation is not found in either source. (Motion 4:5-6.) Defendants' motion contains other misquotations as well.

DISCUSSION

FAA v. CAA

"[T]he FAA's procedural provisions do not apply unless the contract contains a choice-of-law clause expressly incorporating them. [T]he question is not whether the parties adopted the CAA's procedural provisions: The state's procedural statutes apply by default because Congress intended the comparable FAA sections to apply in federal court. The

question, therefore, is whether the parties expressly incorporated the FAA's procedural provisions into their agreements." (Victrola 89, LLC v. Jaman Properties 8 LLC (2020) 46 Cal.App.5th 337, 345 (Victrola 89), internal citations omitted and italics in original.) "[P]revious cases have held that when an arbitration agreement provides that its 'enforcement' shall be governed by California law, the [CAA] governs a party's motion to compel arbitration. It follows that when an agreement provides that its 'enforcement' shall be governed by the FAA, the FAA governs a party's motion to compel arbitration." (Id. at p. 346.)

Contrary to Defendants' contention, the Arbitration Agreement (defined below) does not say that the FAA governs its enforcement. Instead, it says, "[a]ny arbitration proceeding under this agreement shall proceed under and be governed by the [FAA]." (Radcliffe Decl., Ex. 1, § 7.) The arbitration proceeding and the arbitration agreement are not the same thing. (See Victrola 89, LLC, supra, 46 Cal.App.5th at p. 349 ["a directive that arbitration shall be 'conducted' in accordance with the CAA in all other respects has no bearing on the law that should be used to determine whether arbitration is required. [Citations.]"].) Additionally, merely being "subject to the [FAA]" does not mean the FAA governs this motion. (See Radcliffe Decl., Ex. 1, § 2.) Accordingly, the CAA governs this motion by default. (Id. at p. 345.)

Existence of Valid Arbitration Agreement and Covered Claims

Defendants submitted a copy of the Dispute Resolution Agreement California (the Arbitration Agreement) together with a DocuSign Certificate of Completion establishing that Plaintiff electronically signed it on June 24, 2025 using his personal email address and device. (Radcliffe Decl., Ex. 1.) Defendants have therefore met their initial burden of establishing the existence of an arbitration agreement. (Espejo v. S. California Permanente Med. Grp. (2016) 246 Cal.App.4th 1047, 1060 ["we conclude that defendants here met their initial burden by attaching to their petition a copy of the purported arbitration agreement bearing Espejo's electronic signature"].) The burden now shifts to Plaintiff to challenge the validity of the Arbitration Agreement. (See *ibid.*)

Plaintiff does not dispute that he signed the Arbitration Agreement or that it covers his claims. Plaintiff instead contends the Arbitration Agreement is unconscionable and therefore unenforceable.

Unconscionability

"[P]rocedural and

substantive unconscionability must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability." (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 102.) The courts invoke a sliding scale, which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves, i.e., the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to conclude that the term is unenforceable, and vice versa. (Id. at p. 114.) Plaintiff bears the burden of proving that the provisions at issue are both procedurally and substantively unconscionable. (Mills v. Facility Sols. Grp., Inc. (2022) 84 Cal.App.5th 1035, 1050 [party asserting unconscionability bears the burden of proof].)

Procedural

Unconscionability

"Procedural

unconscionability focuses on the elements of oppression and surprise. Oppression arises from an inequality of bargaining power which results in no real negotiation and an absence of meaningful choice ... Surprise involves the extent to which the terms of the bargain are hidden in a prolix printed form drafted by a party in a superior bargaining position." (Roman v. Superior Court (2009) 172 Cal.App.4th 1462, 1469 (Roman), internal quotation marks and citations omitted.)

Plaintiff contends the Arbitration Agreement is procedurally unconscionable to a high degree because the five-page Agreement was embedded in a 124-page onboarding packet, presented on his phone, and signed in 23 minutes after his supervisor told the crew that anyone who wanted to be paid that week had to sign as soon as possible, with no explanation or opportunity to consult counsel and an inoperable opt-out.

Defendants contend that the envelope reached Plaintiff's personal email on June 19, 2025, five days before he signed and twelve days before the transition; that he could review, print, download, and finish later; and that

the Arbitration Agreement was separately titled and required its own signature action. Defendant Peraza denies telling employees they had to sign to be paid or to sign “right away,” explaining that he referred employees to the transition FAQ and that the upcoming paycheck would issue from the former employer with a PTO payout. Defendant Superior adds that wages were paid regardless of whether the onboarding documents were completed. Defendants concede the opt-out provision inadvertently retained the “[insert e-mail]” placeholder but note it disclosed the opt-out right, deadline, and absence of adverse consequences, and that Plaintiff never attempted to opt out.

The Court finds a low-to-moderate degree of procedural unconscionability. The Arbitration Agreement is adhesive and was presented in a lengthy electronic packet, which supports some procedural unconscionability. (Arguello Decl., ¶ 5; Ramirez v. Charter Commc'ns, Inc. (2024) 16 Cal.5th 478, 492 (Ramirez).) However, the record does not support the “extreme” oppression Plaintiff urges: the evidence shows several days to review the separately titled Agreement, and the central factual predicate — that Peraza conditioned pay on immediate signature — is squarely disputed by Peraza’s declaration and Superior’s payroll evidence. (Peraza Decl., ¶ 6; Radcliffe Suppl. Decl., ¶ 2, Ex. 3.) The failure to provide the JAMS rules adds little because Plaintiff’s substantive challenges concern the Agreement’s own terms. (Lange v. Monster Energy Co. (2020) 46 Cal.App.5th 436, 446-447). Also, the Arbitration Agreement contained a link to the JAMS rules online. (Radcliffe Decl., § 7.) The inoperable opt-out is a genuine defect but is mitigated because Plaintiff affirmatively signed the Arbitration Agreement and provided no evidence of having attempted to opt out. (See Radcliffe Decl., Ex. 1; see generally Arguello Decl.) The Court need not resolve the disputed account of Peraza’s statement because even crediting a moderate degree of procedural unconscionability, the substantive terms discussed below do not rise to the level required to render the Agreement unenforceable on the sliding scale. (See Baltazar v. Forever 21, Inc. (2016) 62 Cal.4th 1237, 1243-1244 [“Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves”].)

Substantive

Unconscionability

“Substantive unconscionability focuses on the actual terms of the

agreement and evaluates whether they create overly harsh or one-sided results, that is, whether contractual provisions reallocate risks in an objectively unreasonable or unexpected manner.” (Roman, supra, 172 Cal.App.4th at pp. 1469-1470, internal quotation marks and citations omitted.)

Emergency Injunctive
Relief Carve-Out (Section 2).

Plaintiff contends Section 2’s exclusion of “claims for emergency temporary or emergency injunctive relief” favors Superior as the party more likely to seek such relief. Defendants respond that the exclusion is facially neutral, is limited to emergency provisional relief, and does not reserve permanent injunctions, damages, or trade-secret claims for Superior.

A carve-out that merely restates the provisional-remedy rights available under Code of Civil Procedure section 1281.8, subdivision (b), is not unconscionable even if the employer is more likely to invoke it; only a carve-out that broadly authorizes injunctive relief beyond section 1281.8 would be unconscionable. (Carbajal v. CWPSC, Inc. (2016) 245 Cal.App.4th 227, 250 (Carbajal); Ramirez, supra, 16 Cal.5th at pp. 534-535). Because Section 2 is limited to emergency provisional relief, it is closer to permissible provisional-relief protection than to the broad carve-outs held unconscionable in Carbajal and Ramirez. To the extent Section 2 could be read more broadly, the Court limits it to provisional relief authorized by section 1281.8 rather than voiding it. So construed, Section 2 is not substantively unconscionable.

Attorney Fee Provision
(Section 8).

Plaintiff contends Section 8’s use of “may” dilutes FEHA’s asymmetric fee protections. A clause that could be read to require an employee to bear fees not recoverable in court is unconscionable. (Ramirez, supra, 16 Cal.5th at pp. 507-512.) Section 8, however, requires any fee award to be “consistent with applicable law” and does not mandate a fee award against an employee who resists arbitration, unlike the clause in Ramirez. (See id. at p. 511; Radcliffe Decl., Ex. 1, § 8.) Read as a whole, Section 8 preserves FEHA’s asymmetric rule. The Court construes it to require any award to conform to FEHA and Armendariz, and so construed it is not substantively unconscionable.

Arbitrator Selection Procedure (Section 6).

Section 6 requires mutual selection and, failing that, equal alternating strikes from a neutral provider's odd-numbered list, with Superior striking first and Plaintiff exercising the final strike. (See Radcliffe Decl., Ex. 1, § 6.) This process does not confer the employer control found unconscionable in the authorities Plaintiff cites and is not substantively unconscionable.

Notice and Assignment (Sections 5 and 9).

Section 5's one-way pre-arbitration notice does not shorten any limitations period and substantially overlaps with ordinary service. (See Radcliffe Decl., Ex. 1, § 5.) The parties dispute whether the stated address is correct. Section 9's assignment right is collateral. (See Radcliffe Decl., Ex. 1, § 9.) These provisions, alone or together, do not render the Arbitration Agreement unconscionable.

Appeal-Stay Clause (Section 7).

Section 7 purports to stay all trial-court proceedings pending any appeal and to make Code of Civil Procedure section 1294 inapplicable. Since January 1, 2024, section 1294, subdivision (a), provides that perfecting such an appeal "shall not automatically stay any proceedings in the trial court." (Code Civ. Proc., § 1294.) Because the CAA governs this motion, section 1294, subdivision (a) controls, and Section 7's contrary language is unenforceable to that extent. The provision is collateral, has no present application since no appeal is involved in this matter, and Defendants agree it may be severed. (Radcliffe Decl., Ex. 1, § 7; Reply, 9:14-18.) The Court therefore severs the appeal-stay language of Section 7.

Severance

Civil Code section 1670.5 permits the Court to refuse enforcement, sever, or restrict an unconscionable clause. (Civ. Code, § 1670.5.) The strong preference is to sever and enforce the balance, and refusal is reserved for agreements permeated by unconscionability (Ramirez, *supra*, 16

Cal.5th at p. 511.) There is no numerical rule; the inquiry is qualitative and considers whether the central purpose is tainted, whether the defects can be cured without adding terms, and whether the interests of justice favor refusal. (Id. at pp. 516-517.) The severability clause is evidence of the parties' intent to enforce a curable agreement. (Id. at p. 517.)

The Court finds the Agreement is not permeated by unconscionability. Its central purpose — bilateral arbitration before a neutral JAMS arbitrator, with all court-available remedies and Superior's payment of forum costs — is lawful. The only provision requiring excision is Section 7's appeal-stay language, which the Court severs per Section 9 of the Arbitration Agreement. (Radcliffe Decl., Ex. 1, § 9.) Section 2 is limited by construction and Section 8 is applied consistent with FEHA. (Radcliffe Decl., Ex. 1, §§ 2, 8.) None of this requires the Court to add terms to the Arbitration Agreement. (Ramirez, *supra*, 16 Cal.5th at p. 515.) Severance and restriction, not refusal, are the appropriate course.

Based on the foregoing, the Court GRANTS the motion.

CONCLUSION

The Court GRANTS Defendants' motion to compel arbitration and dismiss, or in the alternative, stay the proceedings. The Court hereby STAYS this action pending completion of arbitration. The Court will sign the proposed Order.

Defendants are ordered to give notice of the Court's ruling within five calendar days of this order.